(3)

No.99-632

FILED
DEC 13 1999
OFFICE OF THE CLERK
SUPREME COURT, U.S.

In the

Supreme Court of the United States

GORDON M. BROWNE and EDITH C. BROWNE,

Petitioners,

v.

UNITED STATES OF AMERICA,

Respondent.

On Petition for Writ of Certiorari to the United States Court of Appeals for the Second Circuit

REPLY TO OPPOSITION

Barnaby W. Zall
7018 Tilden Lane
Rockville, MD 20852
(301) 231-6943

J. E. McNEIL
Counsel of Record
4614 Wisconsin Avenue, NW
Washington, DC 20016
(202) 686-2600

6pp

ADDITIONAL REASONS TO GRANT THE WRIT

In its opposition, the United States ignores the fact that there is only one issue presented in this case: whether the Internal Revenue Service may deny access to already-existing individualized hardship waiver procedures for, and impose additional penalties on, those whose hardship is religious in nature.[1]

There is no jurisdictional issue in this case (which was decided on the pleadings).[2] There is no factual question

---

[1]For example, the government changes the Issue Presented to read: "[w]hether the imposition of federal income taxes . . . on petitioners . . ." Opposition ("Opp.") at 1. That has never been an issue raised in the pleadings below.

[2]The Opposition raises the same erroneous jurisdictional argument that the Department of Justice attorney listed on the Opposition raised in the courts below and was summarily dismissed as unfounded. Opp. at 3 n. 1, n. 2. The lower courts would not have any authority to "elect" a judgment on the pleadings over a dismissal for lack of jurisdiction. *Steel Co, v, Citizens for a Better Environment,* 523 U.S. 83 (1998). The court of appeals examination of the district court's jurisdiction is mandatory. *Bender v. Williamsport Area School,* 475 U.S. 534, 541 (1980). Under IRC § 6213, the US Tax Court has no jurisdiction over interest unless there is a deficiency assessment by the IRS. The Brownes, by filing accurate returns, are "self-assessed" and therefore there is no deficiency assessment. Jurisdiction by the Tax Court could not be triggered. Since the Tax Court could not have

in this case (for the same reason). The case does NOT deal with "the imposition of federal income taxes," Opp. at 1, but only with the IRS's procedural failures.

1. The decision below conflicts with decisions of this Court and other courts of appeals.

The government asserts that the decision below "does not conflict with any decision of this Court or any other court of appeals." Opp. at 5. In fact, Petitioners demonstrated several conflicts, including *Cheema v. Thompson*, 67 F.3d 883, 885 (9th Cir. 1995)(RFRA requires serious consideration and a demonstration of least restrictive means); *Craddick v. Duckworth*, 113 F.3d 83, 85 (7th Cir. 1997); *Fraternal Order of Police Newark Lodge No. 12 v. City of Newark*, 170 F.3d 359 (3rd Cir.), *cert. denied*, __U.S.__, 120 S.Ct. 56 (1999).

The decision below conflicts with these decisions because each of these cases required an inquiry to determine the burden on the plaintiffs, the Government's compelling interest AND whether the Government used the least restrictive means to meet its compelling interest. This inquiry demands proof, not merely lawyers' assertions. In this case, which was decided on the pleadings, the burden on the Brownes was conceded, but an inquiry is still required to determine the Government's compelling interest in the waiver system and whether it used the least restrictive means.

The decision below also conflicts with *Employment Division v. Smith*, 494 U. S. 872 (1990), in which this Court

---

jurisdiction, the Brownes would never be able to have their day in Court if the U.S. District Court and the U.S. Court of Appeals did not take jurisdiction over the constitutional claim concerning waiver of the interest.

reiterated that access to individualized hardship waivers to otherwise encompassing rules could not be denied on religious grounds. [3]

Nowhere in the Opposition does the government show a non-conflicting case which dealt with denial of access to an individualized hardship waiver procedure on religious grounds.

Nowhere does the government show a case based on the Religious Freedom Restoration Act of 1993, 42 U.S.C. § 2000bb *et seq*., saying that the government may deny access to an individualized hardship waiver procedure on religious grounds.

Finally, the government never deals with the second part of the issue presented in the Petition: that the current IRS procedure penalizes those who claim religious hardship more harshly than necessary.

The fact that the conflicting cases are not tax cases does not make the conflict any less real. Virtually all the cases cited by the Government, such as *Lee*, relied directly on the First Amendment to provide relief. Those cases do not "conflict" because they did not explore the issue of discrimination in the application of a general hardship waiver. The only non-conflicting cases which do rely on the non-discriminatory application of the general hardship

---

[3] The Government once again cites this Court's *dicta* in *United States v. Lee,* 455 U.S. 252 (1982), concerning the Government's compelling interest in the income tax system as being dispositive of any tax claims. *Lee* dealt exclusively with Social Security which is not part of the federal income tax system. The Government ignores some cases which deal with the compelling interest of security in prisons and schools--just as compelling but still not dispositive.

waiver are *Adams v. Commissioner*, 110 T.C. 137 (1998), *aff'd*, 170 F.3d 173 (3d Cir. 1999) [Cert. Petition No.99-798.], and *Packard v. United States,* 7 F.Supp.2d 143 (D.Conn. 1998) *aff'd*, 99-02 U.S. Tax Rep. (RIA) ¶ 50,630, (2d Cir. 1999), which are also seeking review by this Court. But none of these cases are the ones on which the Brownes' claims rest.

2. **The standard to grant waivers of penalties and interest is facially discriminatory and subjective.**

The Government argues that this case is distinguishable from *Smith* because the waivers in the statute and regulation are granted on the basis of "facially neutral uniformly applicable standards that do not take into account religious or other beliefs." Opp. 7. Yet, in *Smith,* the Court explicitly reiterated that the standard in *Bowen v. Roy,* 476 U.S. 693(1986)(plurality), and *Sherbert v. Verner*, 374 U.S. 398 (1963), was to be read that where a Government "has in place a system of individual exemptions," such as the hardship system in place here, "it may not refuse to extend that system to cases of 'religious hardship' without a compelling reason." 494 U.S. at 884. The system at issue in this case is not the federal income tax system, but the system of waivers for penalties and interest. This waiver system cannot be facially neutral when the plain language of the agency rule which, according to the introduction onf the IRM, applies to all waivers states: "[a]n appeal should not be based on moral, political, constitutional, religious or similar arguments." IRM [120.1] 6.1.3.

The Government again ignores the plain language of both the statute and the Internal Revenue Manual. The penalties and interest shall be levied UNLESS the taxpayer is "unable to pay the taxes or *would suffer an undue hardship*... if he paid on the due date" 26 CFR. § 301.6651-

1(c)(1) (emphasis added). Instead the Government has added the word "financial." Opp. at 6 ("Their complaint did not allege...that undue *financial* hardship would result...") (emphasis added). This addition of the word "financial" is incorrect under the Government's own regulations which permit waivers, for example, because of illness or absence from the country. Opp. at 7. This is an important issue on which the lower courts need guidance.

Conclusion

For the reasons stated above and in the Petition itself the Court should grant the petition for a writ of certiorari.

Respectfully submitted,

Barnaby W. Zall
7018 Tilden Lane
Rockville, MD 20852
(301) 231-6943

J. E. McNeil
Counsel of Record
4614 Wisconsin Avenue, NW
Washington, DC 20016
(202) 686-2600

December 13, 1999